15.3 The Development and Growth of Electronic Commerce

Economists describe four distinct waves (or phases) that occurred in the Industrial Revolution. In each wave, different business strategies were successful. Electronic commerce and the information revolution brought about by the Internet likely go through such series of waves. Refer Figure 15.5

- **The First Wave of Electronic Commerce: 1995 -2003**

The Dotcom companies of first wave are mostly American companies. Thereby their websites were only in English. The Dotcom bubble had attracted huge investments to first wave companies.

As the Internet was mere read-only web (web 1.0) and network technology was in its beginning stage, the bandwidth and network security was very low. Only EDI and unstructured E-mail remained as a mode of information exchange between businesses. But the first wave companies enjoyed the first-move advantage and customers were left with no option.

- **The Second Wave of Electronic Commerce: 2004 – 2009**

The second wave is the rebirth of E-Commerce after the dotcom burst. The second wave is considered as the global wave, with sellers doing business in many countries and in many languages. Language translation and currency conversion were focused in the second wave websites. The second wave companies used their own internal funds and gradually expanded their E-Commerce opportunities. As a result E-Commerce growth was slow and steady. The rapid development of network technologies and interactive web (web 2.0, a period of social media) offered the consumers more choices of buying. The increased web users nourished E-Commerce companies (mostly B2C companies) during the second wave.

- **The Third Wave of Electronic Commerce: 2010 – Present**

The third wave is brought on by the mobile technologies. It connects users for real-time and on-demand transactions via mobile technologies. The term Web 3.0, summarize the various characteristics of the future Internet which include

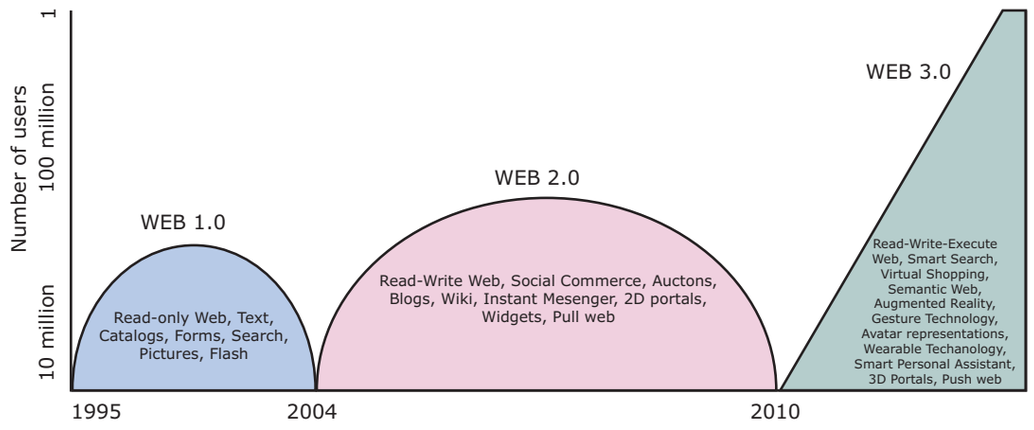


Figure: 15.5 Evolution of Electronic Commerce

XII CompApp_English version CHAPTER 15.indd 205 23-02-2020 14:46:17